

CPI(M) leaders had inaugurated the Reliance Fresh outlets. The chain has increased its outlets in the state despite opposition. Only three shops in Iringalakuda, Kunnankulam and Aluva had to be closed down after the local municipalities issued them notices since they didn't have the requisite permissions. Says Gibson Vedamani, CEO of the Retailers Association of India: "Retailers have taken licences from various authorities; banning them will mean a change in the Shops and Establishments Act, which is not easy."

But the obvious question that arises from this paranoid reaction of state governments is: who benefits from organised retail? Clearly, the beneficiaries are consumers, farmers and a large-base of jobseekers in India. The

ransacked the three retail counters of Reliance Fresh. The internal advisory team of the chain alerted the chief minister's secretariat and within hours, Chief Minister Madhu Koda showed the green signal to the players. Ojha's violent protest has been termed by Marandi's party as a "personal issue".

That the protesters form a minuscule minority is evident from what is happening in Gujarat. Some local leaders tried to organise a backlash against retail outlets in Ahmedabad, but it fizzled out. One of the reasons behind this is the fact that one retailer has agreed to sell vegetables and fruits at competitive rates to vendors also. So far, vendors have been buying from wholesalers who are termed as the middlemen. Says

velop 110 million sq ft of retail space for many years to meet the demand of 8 per cent growth in the economy. Despite all the development of malls, by 2008, eight largest Indian cities will have 66 million sq ft of retail space through more than 200 new proposed retail centres and the next seven cities will see only 13 million sq ft of retail space. Statistics show that even if organised retailers expand their base, only a very small percentage will be affected by their presence.

According to a 2006 PwC study, there are approximately 12 million retailers in India and, based on the rural to urban ratio (70:30), roughly 3.6 million are located in urban areas, where modern trade will have a presence almost exclusively in the coming 10-15 years. Of these 3.6 million outlets, 3 per

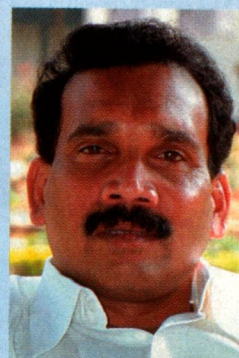
V.S. ACHUTHANANDAN, CM, Kerala

"We will regulate retail majors which are a threat to those in the unorganised sectors. If need be, we'll ban them."



MADHU KODA, CM, Jharkhand

"We wish Jharkhand to emerge as a safe place for investors, including those dealing in food retail."



retail industry, according to a study conducted by FICCI, in India today is \$328 billion in size, of which 96 per cent is unorganised. A lion's share of the 4 per cent organised trade comes from the top 10 cities. According to a study by business consulting firm Technopak, by 2010, retail will grow to \$427 billion and domestic and international retailers plan to invest \$30 billion in the space in the next five years. "This will create approximately eight million jobs, both direct and indirect, in the short term," says Sivakumar.

No wonder, the loudest protesters are neither farmers nor consumers. In May, local vendors, led by their leader Uday Shankar Ojha, member of Babulal Marandi's Jharkhand Vikas Morcha, opposed retailers entering Jharkhand. A violent mob comprising over a thousand vegetable vendors

Parimal Nathwani, president, corporate affairs, Reliance Group, Gujarat. "It's now a win-win situation for both the vendors and the farmers. Plus, people in Gujarat realise the employment generation capacity of such projects. The 20 Reliance Fresh stores we have opened have given employment to 1,000 people."

The state governments are, in effect, concerned about the displacement of vegetable vendors and mom-and-pop shops that sell food items. However, if one looks at the rate at which organised retail is growing in India, it will take years for air-conditioned stores to overtake the traditional 13 million retail establishments. Even if retailing wants to grow at a certain pace, it cannot, due to the lack of adequate infrastructure. According to Technopak, India needs to annually de-

cent are likely to be affected directly by the presence of large retailers. The neighbourhood stores (or the category D stores), on which the consumers rely most as they are closest to their homes, will not be affected. The maximum impact will be on one lakh mid-category and semi-organised stores.

In the long run, the metamorphosis of the sector will lead to the redeployment of this workforce too. But leaders of states where vendors are agitating will have to decide which constituency is worth appeasing, the large mass of farmers, consumers and jobseekers or a bunch of middlemen and vegetable vendors. Till then, it's politics of appeasement.

with inputs from Farzand Ahmed, Ambresh Mishra, M.G. Radhakrishnan, Amitabh Srivastava, Ramesh Vinayak, Uday Mahurkar and Kalaya